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We need to put in place good social safety nets, so that if people are displaced, they have something to lean on for themselves and their families. There is a very good system in Denmark. I highly recommend that for this world of AI. Congratulations to India for the labour market

reforms, but we need to combine that flexibility with security, and help people adjust.

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What is your own assessment of the path that India seems to be choosing on AI, that is, to use what exists and build applications for public-good, like healthcare and in education. Is that the right way for a country like India?

It is the right way. India has invested over the years in digital public infrastructure. It is the

foundation for AI to be more accessible to more people, to be applicable in more areas. India created digital ID for 1.4 billion people and that gave a big boost to the digital economy.

Now comes AI. And to make it beneficial for more people, it is appropriate to think of models that are specifically designed for a sector or a particular activity. And that democratisation of AI is impressive in India. Now, where the world is headed, inevitably there will be differences. And the issue is, how about the developing world, the countries that risk falling behind?

And there, I think the model that India is developing may be more applicable than the high-tech corporate model of the United States. What matters today is that we think ahead, independent of which path is chosen, what should we be most worried about? And frankly, I think our biggest worry should be guardrails. We want AI for good, not for evil. We want AI that protects dignity and rights of humans. And that requires more attention to the ethical foundation

of AI, and much more attention to what are the guardrails.

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If guardrails are necessary, how do we ensure that innovation is not curbed due to excessive regulation?

Well, that is the trickiest question. I think the only answer is to work together and identify what the biggest risks are and how we can put guardrails for those, and do that very carefully because you are right, innovation is what drives prosperity, and we have seen far too many times innovation getting suffocated with excessive regulation.

Over the last few years, India has worked hard to reduce its regulatory burden. I would argue that this is an area where more can be done to implement the great reforms that India has pursued.

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Can, and should, Europe also deregulate?

I happen to know Europe very well; I was EU Commissioner, Vice President of the European Commission for a while. In Europe, the understand-

PEOPLE IN THESE (REQUIRING AI SKILLS) JOBS SPEND MORE, AND THAT CREATES DEMAND FOR LOW-SKILL WORKERS (IN THE UNITED STATES)